

# Micron Technology, Inc.

MU NASDAQ

Buy

\$1071.53 ▲ 1.66%

12M Price Target  
\$1250.00

52-Week Range  
\$163.96 – \$1255.00

Market Cap  
\$1.21T

## MU: HBM Demand Insatiable, CHIPS Act Still Paying Dividends

### WHAT HAPPENED

- MU bounced back +1.66% today after yesterday's ~2.6% drop — classic dip-buying in a name that's been on an absolute tear (up from \$164 to \$1071 over 52 weeks, a 6x move). Volume was notably light (12M vs. 20M+ average), which tells me this wasn't a conviction move either way — more like the market catching its breath ahead of the FQ4 earnings print expected shortly.
- Options flow is loudly bullish — put/call ratio at 0.63 and multiple unusual call sweeps at the \$1065-\$1070 strikes for October expiry (over \$57M in notional). Somebody big is betting on an upside move around earnings.

### WHY IT MATTERS

Here's the setup: MU is trading at 83% of its 52-week range with earnings imminent, and smart money is piling into short-dated calls. That's a "positioned for a beat" pattern. The bigger picture is that Micron is the single biggest winner from the confluence of three policy tailwinds — the CHIPS Act subsidies (they've locked in roughly \$6B+ in federal grants for Idaho and New York fabs), Trump-era tariffs on Chinese memory chips that effectively kneecap CXMT (their main Chinese competitor), and the AI capex boom driving HBM (High-Bandwidth Memory — the specialized DRAM that sits next to Nvidia GPUs) into structural shortage. Translation: MU has pricing power it hasn't had in a decade, and Washington is actively subsidizing the moat.

### POLICY & POLITICAL WATCH

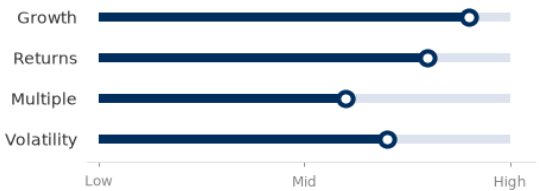
The key policy watch right now is the export control regime — the Commerce Department has been tightening rules on advanced memory exports to China, and any further restrictions actually \*help\* MU by shrinking Chinese competitors' addressable market while giving Micron more room in Western markets. Also watch for CHIPS Act disbursement timing: Trump's administration has been renegotiating some awards, and any delay or clawback of Micron's ~\$6B grant would be a headline risk (though unlikely given the political optics of penalizing a US memory champion). Finally, the 25% semiconductor tariff floor that took effect earlier this year is a direct margin tailwind — foreign memory landing in the US is now structurally more expensive than Micron's.

### IS IT EXPENSIVE?

### Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$1071.53 |
| 12M Price Target    | \$1250.00 |
| Upside / (Downside) | +16.7%    |
| Market Cap          | \$1.21T   |
| FY2026E Revenue     | \$52,000M |
| FY2027E Revenue     | \$68,000M |
| FY2026E EPS         | \$42.50   |
| FY2027E EPS         | \$58.00   |
| Fwd P/E             | 25.2x     |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$1180.00 | \$1100.00 | \$980.00  |
| 6 Months  | \$1350.00 | \$1200.00 | \$900.00  |
| 1 Year    | \$1500.00 | \$1250.00 | \$850.00  |
| 2 Years   | \$1800.00 | \$1400.00 | \$750.00  |
| 5 Years   | \$2500.00 | \$1800.00 | \$600.00  |
| 10 Years  | \$4000.00 | \$2500.00 | \$500.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Utilities (+0.98%) — the AI power-demand narrative keeps money flowing here; anything tied to data center buildout (memory, power, cooling) has policy wind at its back

**COOLING OFF:** Real Estate (-2.99% 5D) and Consumer Discretionary (-2.75% 5D) — rate uncertainty and consumer softness are draining flows from anything rate-sensitive or consumer-facing

**ROTATION WATCH:** Tech is flat-to-down this week (-0.97% 5D) but the money isn't leaving the AI theme — it's rotating from software into hardware/infrastructure names like MU where earnings visibility is clearer

**RELATED PLAY:** If MU keeps ripping on HBM demand, the second-order winners are the equipment makers who supply Micron's fabs — think AMAT, LRCX, and KLAC — plus the utilities powering the new data centers

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): The end-customer for basically every HBM chip Micron makes — as long as Nvidia's data center revenue keeps compounding, MU has a guaranteed buyer
- AVGO (Broadcom): Riding the custom AI accelerator wave with hyperscalers, which drives incremental HBM demand

**MU CONTEXT:** Micron has actually been leading the semiconductor cohort this year given the 6x move from the lows — it's transitioned from "cyclical memory laggard" to "AI infrastructure leader" in the market's mind. That re-rating is the whole story, and it's not done if HBM pricing holds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — pounding the table on the thesis, slightly cautious on entry given the stock has 6x'd and earnings volatility is real

**POSITION SIZE:** 3-5% of portfolio — the upside is real but memory stocks can whipsaw 20% in a week, so don't oversize

**ENTRY POINTS:** Add on pullbacks to \$1000-1050; if we get a broad market puke and MU trades to \$950, back up the truck

**TIME HORIZON:** 12-24 months — the catalyst is FY27 HBM pricing confirmation and continued CHIPS Act execution

**WHEN TO BAIL:** If HBM ASPs (average selling prices) start declining sequentially, or if Samsung gets full Nvidia HBM4 qualification and starts stealing share, the thesis is broken

**HEDGING:** Buy some out-of-the-money put options for earnings — think of it as insurance that pays off if the stock drops 15%+ on a bad print, costs you a small premium if nothing happens